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The suitability of investor-State dispute settlement and host State counterclaims for implementing climate change international responsibility

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Abstract

This article examines the suitability of investor-State dispute settlement (ISDS) for implementing international responsibility arising out of breaches of climate change obligations, based on a comprehensive review of literature, international decisions and instruments, with a particular focus on counterclaims by host States in ISDS arbitral proceedings. ISDS may prove suitable for these purposes, notably by virtue of the flexibility and hybridity of ISDS arbitral proceedings and the enforceability of ISDS arbitral awards. The flexibility of ISDS results in procedural frameworks more adaptable than other forms of international dispute settlement. The hybridity of ISDS, combining both internal and international legal rules, provides grounds for climate change claims or counterclaims not afforded by national or international law operating separately. And crucially, notwithstanding limitations inherent in the ad hoc nature of ISDS, the enforceability of ISDS arbitral awards furnishes unparalleled opportunities to effectively implement international responsibility for breaches of climate change obligations.

1 | INTRODUCTION

Scholarship has increasingly focused on the potential and actual roles of international arbitration in the settlement of international law disputes involving environmental issues, in particular those regarding climate change.[1] Various organizations have addressed these roles, including intergovernmental organizations such as the United Nations (UN)—most prominently through Working Group III of the UN Commission on International Trade Law (UNCITRAL), on investor-State Dispute Settlement (ISDS) Reform (WGIII),[2] the Organisation for Economic Co-operation and Development (OECD)[3] and the Permanent Court of Arbitration (PCA),[4] as well as non-governmental organizations such as the International Chamber of Commerce (ICC)[5] and the Institute of International Law (IIL).[6]

[1]The survey underpinning this article's findings is comprehensive only to the extent materials specifically addressing the intersection of ISDS arbitral proceedings and counterclaims published as of November 2022 are concerned.
[2]UNCITRAL 'Possible Reform of Investor-State Dispute Settlement (ISDS): Multiple Proceedings and Counterclaims' UN Doc A/CN.9/WG.III/WP.193 (22 January 2020).
[3]OECD (ed), 'Submissions to the OECD Public Consultation on Investment Treaties and Climate Change' (OECD 2022).

[4]The PCA adopted two sets of 'environmental' conciliation and arbitration rules in 2001. PCA, 'PCA Optional Rules for Arbitration of Disputes Relating to Natural Resources and/or the Environment' in PCA (ed), *Permanent Court of Arbitration – Basic Documents: Conventions, Rules, Model Clauses and Guidelines* (2nd edn, PCA 2005) 179. For a comment on the PCA's potential roles in the settlement of environmental disputes, see P Sands and R MacKenzie, 'Guidelines for Negotiating and Drafting Dispute Settlement Clauses for International Environmental Agreements' in PCA (ed), *International Investments and Protection of the Environment* (Kluwer 2001) 305.
[5]The ICC has examined the role of international arbitration alongside that of other alternative dispute resolution (ADR) methods. International Chamber of Commerce (ICC) Commission on Arbitration and ADR, 'Resolving Climate Change Related Disputes through Arbitration and ADR: ICC Commission Report' (2019). For a similar analysis, see P Thieffry, 'International Arbitration of Climate-Related Disputes: Prospects for Alternative Dispute Resolution' in I Alogna, C Bakker and JP Gauci (eds), *Climate Change Litigation: Global Perspectives* (Brill 2021) 462,
[6]IIL, 'Resolution on Equality of Parties before International Investment Tribunals' 18 RES EN (31 August 2019). The IIL resolution in question was based on preparatory work under the rapporteurship of McLachlan. See CA McLachlan (Rapporteur), 'Equality of Parties before International Investment Tribunals' (Preparatory Work) in *Report 2018* (IIL 2018) 409 <https://www.idi-iil.org/app/uploads/2019/06/Commission-18-Equality-of-parties-before-international-investment-tribunals-McLachlan-Travaux-La-Haye-2019.pdf>.

International arbitration in general, the ICC has observed, is suitable for the purposes of settling disputes involving climate change issues, given 'the international dimension of climate change and the likely presence of states or state entities as parties'.[7] International arbitration has been included in the United Nations Framework Convention on Climate Change (UNFCCC) as one among other means to settle inter-State disputes,[8] an option reiterated in the Paris Agreement.[9] Indeed, the pioneering *Trail Smelter* case was an inter-State ad hoc arbitration.[10] International arbitration not only is available to settle inter-State disputes, as noted above, but also serves to resolve disputes involving non-State juridical persons. In this vein, ISDS is paramount. In fact, ISDS chiefly takes the form of mixed international arbitration proceedings conducted by arbitral tribunals typically constituted on an ad hoc basis pursuant to applicable international investment agreements of varying scope and operating under the auspices of various arbitral institutions, such as the ICC, the International Centre for Settlement of Investment Disputes (ICSID) and the PCA, among others.[11]

Scholarly writing has more specifically examined the suitability of ISDS for settling disputes involving environmental and climate change-related issues.[12] By way of introduction, it is worth recalling, climate change law regulates an increasingly wide and distinct subset of environmental issues and is mainly concerned with measures to mitigate and adapt to climate change.[13] This 'genus–species' relationship, between environmental and climate change-related issues, is reflected in investment treaty practice. For instance, the Energy Charter Treaty (ECT),[14] a multilateral treaty containing investment provisions,[15] refers to the UNFCCC and 'other international environmental agreements with energy-related aspects'[16] and defines 'environmental impact' as 'any effect caused by a given activity on the environment, including … [the] climate'.[17]

Furthermore, in assessing the place of ISDS in this regard, one must keep in mind that ISDS arbitral tribunals normally have jurisdiction only over disputes involving investors and their investments under applicable investment treaties, thus playing, in principle, a limited role, if any, in relation to non-investor or non-investment related issues.[18] Leaving aside such jurisdictional constraints, there are other limitations stemming from how ISDS has operated, by design and in practice. Indeed, as originally conceived, ISDS has almost exclusively and unidirectionally served to protect investors and their investments, allowing investors to directly seek relief against host States on the international plane for breaches of those States' obligations under international investment agreements, notably without having to rely on those investors' home States' diplomatic protection. And, by contrast to other areas of international economic law such as trade, the way ISDS arbitral tribunals have approached environmental matters has varied widely, resulting in 'a piecemeal approach with often conflicting decisions'.[19]

Notwithstanding these limitations, scholars and institutions have often affirmed that ISDS arbitral proceedings are suitable for dealing with environmental and climate change-related issues in light of the wide variety of subject-matters typically submitted to international arbitration, whose procedural flexibility renders it adaptable for solving non-investment issues.[20] Specifically, some have suggested that ISDS is more suitable for dealing with such issues than inter-State dispute settlement, whether arbitral or judicial. Major factors accounting for the greater suitability of ISDS over inter-state dispute settlement include the absence of international courts and tribunals specializing in environmental disputes and, more importantly, limitations in the enforcement of decisions resulting from inter-state arbitral and judicial proceedings. As the ICC notes, given 'the absence of an international environment court', environmental disputes are submitted to 'a variety of international courts and tribunals'.[21] However, according to the ICC, proceedings before such international courts and tribunals, notably inter-State proceedings, pose challenges

[7]ICC (n 5) 17, para 4.4.

[8]United Nations Framework Convention on Climate Change (adopted 29 May 1992, entered into force 21 March 1994) 1771 UNTS 107 (UNFCCC) art 14.

[9]Paris Agreement (adopted 12 December 2015, entered into force 4 November 2016) 3156 UNTS 107 art 24.

[10]*Trail Smelter (United States v Canada)* (Award) (11 March 1941) 3 RIAA 1905, cited in ICC (n 5) 60, para 51. For a more recent instance of an inter-State arbitration involving environmental matters and touching, albeit tangentially, on climate change issues, see *Indus Waters Kishenganga Arbitration (Pakistan v India)* (Final Award) PCA Case No 2011-01 (20 December 2013) para 117 (noting 'the Court [of Arbitration] is cognizant that flows in the Kishenganga/Neelum may come to differ, perhaps significantly, from the historical record as a result of factors beyond the control of either Party, including climate change').

[11]D Mejía-Lemos, 'General International Law and International Investment Law: A Systematic Analysis of Interactions in Arbitral Practice' in J Chaisse, L Choukroune and S Jusoh (eds), *Handbook of International Investment Law and Policy* (Springer 2021) 1603, 1604–1605.

[12]MC Cordonier Segger et al, 'The International Law and Policy Implications of Climate Change Litigation: Sustainable Developments in International Investment Law and Policy Related to Renewable Energy, Climate Change Mitigation and Adaptation' in W Kahl and MP Weller (eds), *Climate Change Litigation: A Handbook* (Bloomsbury 2021) 166; A Bilanová, 'Environmental Counterclaims in Investment Arbitration' (2020) 5 European Investment Law and Arbitration Review 400; CM Nwankwo, 'Balancing International Investment Law and Climate Change in Africa: Assessing Vertical and Horizontal Norms' (2020) 17 Manchester Journal of International Economic Law 48; SZ Vasani and N Allen, 'No Green without More Green: The Importance of Protecting FDI through International Investment Law to Meet the Climate Change Challenge' (2020) 5 European Investment Law and Arbitration Review 3, 3.

[13]See, among others, B Mayer, *The International Law on Climate Change* (Cambridge University Press 2018) 12 (noting '[t]he international law on climate change consists of specific treaty rules as well as general norms of customary international law', notably 'promoting climate change mitigation and providing support for climate change adaptation'); P Sands and J Peel, *Principles of International Environmental Law* (4th edn, Cambridge University Press 2018) 295 (noting 'international law on climate change constitutes a vast field in its own right').

[14]Energy Charter Treaty (adopted 17 December 1994, entered into force 16 April 1998) 2080 UNTS 100 (ECT).

[15]D Mejía-Lemos, 'Article 10: Promotion, Protection and Treatment of Investments' in R Leal-Arcas (ed), *Commentary on the Energy Charter Treaty* (Edward Elgar 2018) 150, 156, para 10.04.

[16]ECT (n 14) preamble.

[17]ibid art 19(3)(b) (as well as 'the interactions among these factors'). Furthermore, climate change is a major aspect of the ongoing process of 'modernization' of the ECT. Energy Charter Conference 'Finalisation of the negotiations on the Modernisation of the Energy Charter Treaty' (24 June 2022) <https://www.energychartertreaty.org/modernisation-of-the-treaty/> (noting, among others, that climate change is an aspect expressly contemplated in various proposed amendments to ECT provisions, on a 'Definition of Indirect Expropriation', the 'Right to regulate' and 'Sustainable development and corporate social responsibility').

[18]Mejía-Lemos (n 11) 1617 (noting such treaties 'not only are … a source of particular law norms, and of obligations thereunder, but also a source of jurisdiction of arbitral tribunals constituted' thereunder).

[19]Sands and Peel (n 13) 915 (adding that, consequently, in ISDS arbitral proceedings the 'parties' choice of arbitrators … is likely to remain critical to the outcome of particular disputes').

[20]J Rudall, 'Green Shoots in a Barren World: Recent Developments in International Investment Law' (2020) 67 Netherlands International Law Review 453, 468.

[21]ICC (n 5) 17, para 4.5.

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for 'the implementation and effectiveness of international law'.[22] Indeed, noticeably, the Paris Agreement lacks an enforcement mechanism,[23] thus potentially undermining the implementation of its obligations.[24] By contrast, crucially, ISDS arbitral proceedings benefit from the enforceability of arbitral awards,[25] chiefly under the New York Convention[26] or the ICSID Convention.[27]

The use of counterclaims in ISDS arbitral proceedings to address environmental and climate change-related issues has received increasing attention. This is so, most notably, in light of Ecuador's successful counterclaims in *Perenco v Ecuador*[28] and *Burlington v Ecuador*,[29] leading to the first publicly known arbitral awards holding an investor responsible for environmental damages,[30] and, more fundamentally, showing that the typically unidirectional character of ISDS need not preclude host States from being awarded compensation under certain circumstances. Scholars have suggested that such counterclaims could have a deterrent effect on the formulation of baseless or frivolous claims. In particular, counterclaims may forestall claims against host States' climate change-related measures as well as baseless claims.[31] Indeed, counterclaims have been used to dissuade frivolous claims, as exemplified by Peru's reliance thereon in *CCTE v Peru*.[32] In addition, counterclaims are often presented as a means to reduce the quantum of compensation owed to investors.[33] Hence, counterclaims, being heralded as suitable means for holding investors responsible for their conduct in connection with the environment, generally and within ISDS,[34] may prove equally apt in relation to disputes involving climate change elements.

In this vein, the relevance of correctly approaching the conduct of investors from the standpoint of international responsibility is paramount, because the legal consequences of such conduct are typically approached by ISDS arbitral tribunals on the basis of the law of State responsibility, despite several scholars' almost exclusive reliance on the open-ended concept of 'accountability'.[35] As the *Perenco* tribunal observed, where a counterclaim is well-founded, full reparation must be awarded to a State making that counterclaim.[36] Accordingly, the *Perenco* tribunal appointed independent environmental experts to determine the quantum of compensation to be awarded.[37]

Thus, the flexibility and hybridity of ISDS arbitral proceedings and the greater enforceability of ISDS arbitral awards underscore the potential of ISDS for addressing climate change aspects of investment disputes. Most other international dispute settlement mechanisms, being typically inter-State, are necessarily confined to holding States responsible. By contrast, ISDS may provide a forum for holding private entities responsible for breaches of climate change-related obligations, including those originally arising under domestic law. Indeed, the latter obligations may initially be created by domestic law rules, which can be invoked as a source of obligation under applicable investment agreements, the main source of law in ISDS arbitral proceedings.[38] The possibility of invoking the internal law of host States, which ISDS affords, may prove key for holding private entities responsible. While most treaties typically create obligations only for States and do not provide for the application of a State's internal law, as is the case with multilateral environmental agreements,[39] under investment treaties, a private entity may directly hold climate change obligations originating in a host State's internal law, if that internal law can be invoked under the applicable investment treaty, as seen in both *Burlington* and *Perenco*.

This article, based on a comprehensive review of literature available in Chinese, English, French, Italian and Spanish, examines selected salient issues identified in the reviewed literature, bearing in mind the character of ISDS arbitral proceedings as a mechanism for implementing international responsibility. Its remainder proceeds in five parts. Section 2 elaborates on the nature of international

[22]ibid. See also A Altchiler, 'Using Investor-State Dispute Settlement to Enforce International Environmental Commitments' (2021) 41 Pace Law Review 256, 273 (stating, in relation to 'a variety of international agreements or policies under which parties have committed to combat climate change', that '[l]arge portions of these agreements, however, are unenforceable').

[23]M Anning, 'Counterclaims Admissibility in Investment Arbitration: The Case of Environmental Disputes' in Chaisse et al (n 11) 1277, 1286.

[24]This challenge has arguably been faced by international environmental law dispute settlement in general. J Rinceanu, 'Enforcement Mechanisms in International Environmental Law: Quo Vadunt?' (2000) 15 Journal of Environmental Law and Litigation 147, 155. See also Altchiler (n 22) 275 (arguing 'ISDS could present an opportunity for investors to enforce states' commitments', since 'the Paris Agreement and the EU Directive 2018/2001/EC both provide enforcement mechanisms for the procedural requirements of the agreement, but neither provide for a way to enforce the parties' substantive commitments to limit GHG emissions or promote renewable energy to a specific target').

[25]ibid.

[26]Convention on the Recognition and Enforcement of Foreign Arbitral Awards (adopted 10 June 1958, entered into force 7 June 1959) 330 UNTS 3 (New York Convention).

[27]Convention on the Settlement of Investment Disputes between States and Nationals of Other States (adopted 18 March 1965, entered into force 14 October 1966) 575 UNTS 159 (ICSID Convention).

[28]*Perenco Ecuador Ltd v The Republic of Ecuador and Empresa Estatal Petróleos del Ecuador*, ICSID Case No ARB/08/6 (*Perenco v Ecuador*), including the following decisions: Interim Decision on the Environmental Counterclaim (11 August 2015); Final Award (27 September 2019).

[29]韩秀丽 (Hán Xiùlì), '中国海外投资的环境保护问题: 基于投资法维度的考察' ('Zhōngguó hǎiwài tóuzī de huánjìng bǎohù wèntí: jīyú tóuzī fǎ wéidù de kǎochá') 3 厦门大学学报 (Xiàmén dàxué xuébào) (2018) 148, 156; Rudall (n 20) 465.

[30]Rudall (n 20) 465.

[31]A Monti and L Nordlander, 'OECD Public Consultation on Investment Treaties and Climate Change' in OECD (n 3) 175, 178 (noting counterclaims 'might deter investors from challenging States' climate measures at all, in order not to be targeted by potential host State's counterclaims').

[32]*Caraveli Cotaruse Transmisora de Energía v Republic of Peru*, ICSID Case No ARB/11/9, discussed in J Calvert, 'Reforming IIAs to Combat Climate Change: Lessons from Latin America' in OECD (n 3) 37, 39, para 3.2.

[33]Calvert (n 32) 39, para 3.2 (noting Ecuador's reliance thereon to 'reduce the overall compensation owed to foreign owned oil companies'); Y Zheng and NJ Calamita, 'The Essential Importance of Issues of Compensation and the Calculation of Quantum' in OECD (n 3) 256, 262.

[34]N Monebhurrun, 'La demande reconventionnelle comme procédure permettant d'engager la responsabilité environnementale des investisseurs: l'exemple du droit international des investissements' (2020) 45 Revue juridique de l'environnement 526.

[35]KE Boon and F Mégret, 'New Approaches to the Accountability of International Organizations' (2019) 16 International Organizations Law Review 1, 5 (noting '[a]ccountability is not the same thing as a narrow international legal notion of IO responsibility and designates a wide range of processes', instead.) However, several scholars rely on the wider notion of 'accountability'. Calvert (n 32) 39, para 3.2 (referring to Ecuador's use thereof to 'hold foreign investors accountable for environmental damage'); Monti and Nordlander (n 31) 178 (arguing for counterclaims' potential to 'increase investors' accountability for GHG emissions'); Rudall (n 20) 458; Zheng and Calamita (n 33) 262–263.

[36]*Perenco v Ecuador* (Final Award) (n 28) para 34.

[37]*Perenco v Ecuador* (Interim Decision on the Environmental Counterclaim) (n 28) para 587.

[38]Mejía-Lemos (n 11) 1649, 1651 (recalling '[i]nternational law and internal law remain separated even if a norm of the latter is incorporated into the former by virtue of an [international investment agreement], in terms of both the existence and implementation of international responsibility', and that investment treaties prevail over general international law in ISDS, given their often concurrent roles as 'as source of particular law, specific rights and obligations, and arbitral jurisdiction').

[39]Anning (n 23) 1286.

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arbitration and ISDS, with a particular focus on their flexibility and the opportunities which ongoing ISDS reform may present for dealing with climate change issues. Section 3 turns to the law applicable in ISDS arbitral proceedings, with an emphasis on its hybridity and the advantages this feature entails for allowing the pursuit of climate change-related claims and counterclaims. Section 4 examines in greater detail the procedural and substantive dimensions of the regulation of counterclaims. Section 5 addresses other aspects concerning the implementation of international responsibility for breaches of environmental and climate change obligations, with a particular accent on the enforceability of ISDS arbitral awards. Section 6, by way of concluding remarks, summarizes the article's main findings.

2 | THE FLEXIBILITY OF ISDS AND REFORM EFFORTS

The peaceful means for settling disputes under international law set out in the UN Charter comprise 'negotiation, enquiry, mediation, conciliation, arbitration, judicial settlement, resort to regional agencies or arrangements, or other peaceful means of their own choice'.[40] As with any dispute, States are generally required to settle their disputes regarding the environment[41] and climate change[42] through such peaceful means.

The extent to and ways in which environmental and climate change issues can be addressed through international dispute resolution may however be limited in various regards. Resort to international adjudication, whether ad hoc or permanent, remains by and large optional, given the absence of generally mandatory jurisdiction in international law,[43] and limited in scope, as determined by the vagaries of disputing parties' consent to jurisdiction. Hence, wider processes impacting the environment and climate change may not fully come under scrutiny within the limited confines of international dispute settlement. In particular, if international dispute resolution mechanisms specialized in environmental or climate change disputes are not set up, or disputes wholly or principally involving environmental or climate change issues are not submitted to existing international courts or tribunals of general jurisdiction, such issues are likely to be settled only partially, as accessories to the main objects of other disputes. Notwithstanding the aforementioned limitations, the roles international arbitration can perform, notably in connection with investor-State disputes, remain significant and, thus, worthy of exploration.

International arbitration may prove highly significant as a means to settle disputes wholly or partly concerning the environment and climate change in particular, not only for its ability to solve disputes involving States—or other aspects calling for the application of international law, but also given its capacity to deal with more complex combinations of parties and subject matters. Indeed, as the PCA has noted, 'disputes having a natural resources, conservation, or environmental protection component' possess 'particular characteristics', which can be most conveniently dealt with by international arbitration.[44] Also, international arbitration is particularly suited to settle 'mixed' disputes, involving various kinds of parties, notably private parties, such as individuals, corporate entities or other juridical persons of national law. Indeed, notably by virtue of its 'flexibility' and the principle of party autonomy, international arbitration may adequately solve, as the PCA has further pointed out, a wide array of 'disputes involving a combination of States, State-controlled entities, intergovernmental organizations, and private parties'.[45]

Turning to ISDS arbitral proceedings and their legal regulation, ISDS reform proposals may have the potential for rendering ISDS even more attractive as a forum to deal with environmental and climate change-related issues.

The UNCITRAL WGIII has called for the adoption of new rules on counterclaims to be considered as part of ISDS reform proposals.[46] Among other aims, these proposals seek to strike a balance between, as the IIL recalls, 'two parties of a different juridical character: a private investor and a State, whose function it is to represent the public interest'.[47] With the aim of enhancing the protection of public interests in mind, widening the categories of juridical persons allowed to formulate counterclaims has been heralded as an appropriate way to grant third parties access to ISDS. Indeed, the UNCITRAL WGIII recommends considering 'whether the framework for counterclaims by respondent States could be expanded to allow for claims by third parties against investors'.[48] For the ICC, such third parties could include a host State's 'affected communities and citizens'.[49]

ISDS reform, particularly as it relates to counterclaims, comprises elements regarding both investment treaty practice and procedural reforms, are often intertwined.

[40]Charter of the United Nations (adopted 26 June 51945, entered into force 24 October 1945) 1 UNTS XVI art 33.

[41]Rio Declaration on Environment and Development in 'Report of the United Nations Conference on Environment and Development' UN Doc A/CONF.151/26 (vol I) (12 August 1992) Principle 26.

[42]UNFCCC (n 8) art 14.

[43]Sands and MacKenzie (n 4) 308 para 11.

[44]PCA (n 5) 183 paras (i) and (ii) (namely 'the public international law element which pertains to disputes which may involve States and utilization of natural resources and environmental protection issues').

[45]PCA, 'PCA Arbitration Rules 2012' (17 December 2012) <https://docs.pca-cpa.org/2015/11/PCA-Arbitration-Rules-2012.pdf> 4, para 3(a).

[46]UNCITRAL 'Workplan to Implement Investor-State Dispute Settlement (ISDS) Reform and Resource Requirements' UN Doc A/CN.9/WG.III/WP.206 (21 March 2021) para 9. See also UNCITRAL (n 2) 2, para 3 (noting 'the lack of a framework' regulating counterclaims); Columbia Center on Sustainable Investment, 'Climate Action Needs Investment Governance, Not Investment Protection and Arbitration' in OECD (n 3) 75, 79, para 15 (noting proponents thereof 'argue that they are steps in the right direction, even if they are piecemeal approaches'); McLachlan (n 6) 454–455 para 121 (discussing implications of the equality principle regarding 'the proposed establishment of an international investment court'); Zheng and Calamita (n 33) 263 (suggesting '[c]ounterclaims mechanisms can be improved in future treaties … through careful drafting'); Vasani and Allen (n 12) 35.

[47]IIL (n 6) 2, preambular para 8 (noting this is one of 'the particular characteristics of international investment disputes').

[48]UNCITRAL (n 2) 10, para 45.

[49]ICC (n 5) 60, para 50 (discussing the IBA Model Mining Development Agreement).

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In terms of investment treaty practice reform proposals,[50] counterclaims have featured prominently in recent debates.[51] Scholars have argued that investment treaty law reforms could be conducted with human rights treaty law in mind, as a template for how counterclaims can be regulated by future international investment agreements.[52] Investment-related instruments, ranging from model investment treaties to recently concluded investment treaties, adopt various approaches to counterclaims.

On one hand, some instruments expressly allow counterclaims by respondent States.[53] As for 'mega-regional' instruments, the Comprehensive and Progressive Agreement for Trans-Pacific Partnership, for instance, provides that a 'respondent may make a counterclaim in connection with the factual and legal basis of the claim'.[54] As for regional instruments, African practice is also notable. The African Union's Draft Pan-African Investment Code, a form of model international investment agreement, expressly allows States to formulate counterclaims, in addition to including express obligations for investors to comply with environmental legislation and to protect the environment and 'take reasonable steps to restore it as far as possible', if any damages are caused by their activities.[55] Within the Common Market for Eastern and Southern Africa (COMESA), the 2007 Investment Agreement for the COMESA Common Investment Area expressly allows States to assert, among others, counterclaims, provided that a claimant COMESA investor or investment has not fulfilled 'its obligations' under the treaty, 'including the obligations to comply with all applicable domestic measures or that it has not taken all reasonable steps to mitigate possible damages'.[56] The 2012 South African Development Community (SADC) Model Bilateral Investment Treaty (BIT) also envisages counterclaims by host States.[57]

On the other hand, some recent instruments are silent on counterclaims. For example, the only provision in the European Union–Canada Comprehensive Economic and Trade Agreement (CETA) explicitly dealing with counterclaims precludes them on grounds of compensation accorded to an investor pursuant to an insurance or guarantee contract.[58]

In terms of procedural reforms, counterclaims are seen as key to rebalancing international investment law.[59] For instance, submissions to the UNCITRAL WGIII have argued that 'respondent States should be allowed to bring counterclaims against an investor for any breach [in order] to address the imbalance in the existing ISDS mechanisms'.[60] States have directly expressed concerns over the 'limited availability of counterclaims' in ISDS,[61] although, for instance, ICSID contracting States are allowed to bring counterclaims.[62]

The rationale and scope of ISDS procedural reforms have been discussed by ISDS arbitral tribunals and scholars alike. For the *Al-Warraq v Indonesia* tribunal, constituted under the Organisation of Islamic Cooperation (OIC) Investment Agreement (OIC Agreement),[63] counterclaims are key to striking a balance between investors and States in ISDS, 'because of the "inherently asymmetrical character" of an investment treaty'.[64] In this vein, both law-making and arbitral procedure may be involved.[65] Zheng and Calamita argue that the availability and effective use of counterclaims under existing international investment agreements may require joint interpretations by parties to those treaties, if and where feasible, and even 'the amendment of arbitral rules and/or jurisdictional provisions in treaties'.[66] For them, 'wholesale rule amendments via a multilateral

[50]Some have argued the rebalancing of investors and states' positions may also occur as a matter of customary international law. L Boisson de Chazournes, 'Changes in the Balance of Rights and Obligations: Toward Investor Responsibilization' (2017) 111 Proceedings of the ASIL Annual Meeting 53.

[51]Among proposed treaties, some have put forward a proposed treaty combining elements of sustainability and climate change. Nathalie Bernasconi-Osterwalder et al, 'Treaty on Sustainable Investment for Climate Change Mitigation and Adaptation: Aligning International Investment Law with the Urgent Need for Climate Change Action' (2019) 36 Journal of International Arbitration 7.

[52]Monti and Nordlander (n 31) 178.

[53]UNCITRAL (n 2) 8, para 34 (noting '[r]ecent investment treaties have also included provisions allowing counterclaims').

[54]Comprehensive and Progressive Agreement for Trans-Pacific Partnership (adopted 8 March 2018, entered into force 30 December 2018) art 9.19(2).

[55]African Union Commission, 'Draft Pan-African Investment Code' AU/STC/FMEPI/EXP/18 (II) (26 March 2016) art 37.

[56]Investment Agreement for the COMESA Common Investment Area (adopted 23 May 2007) art 28(9) (providing under the aforementioned circumstances a COMESA Member State 'may assert as a defence, counterclaim, right of set off or other similar claim' for the aforementioned purposes).

[57]SADC Model Bilateral Investment Treaty Template with Commentary (July 2012) art 19(2).

[58]Comprehensive Economic and Trade Agreement between Canada, of the one part, and the European Union and its Member States, of the other part (adopted 30 October 2016) Document 22017A0114(01) (CETA) art 8(40).

[59]Zheng and Calamita (n 33) 263 (referring to 'the investment treaty regime'); T Gleason, 'Examining Host-State Counterclaims for Environmental Damage in Investor-State Dispute Settlement from Human Rights and Transnational Public Policy Perspectives' (2021) 21 International Environmental Agreements: Politics, Law and Economics 427, 427 (noting international investment agreements' 'asymmetric nature … can act as a barrier to counterclaims against investors using ISDS, even where an investor causes significant harm to the host-State, including environmental damage.') In particular, the ability for 'self-calibration' of the existing ISDS system has been pointed out by arbitral institutions and scholars supporting incremental, primarily procedural, reforms. Arbitration Institute of the Stockholm Chamber of Commerce (SCC), 'ISDS Reform and Climate Change' (12 March 2022) <http://sccinstitute.com/about-the-scc/news/scc-forecasts/isds-reform-and-climate-change/> (reporting on the SCC's position as observer within the UNCITRAL WGIII, proposing to '[t]o bring down the walls between the silos of international investment law and international climate change law', and affirming 'international investment agreements (IIA) hold a great potential as climate change instruments', as '[t]hey could play a role to accelerate domestic ambitions'); DW Rivkin, SJ Lamb and NK Leslie, 'The Future of Investor-State Dispute Settlement in the Energy Sector: Engaging with Climate Change, Human Rights and the Rule Of Law' (2015) 8 Journal of World Energy Law and Business 130, 130. For a view contesting the sufficiency of procedural reforms, see DB Magraw and S Puig, 'Greening Investor-State Dispute Settlement' (2018) 59 Boston College Law Review 2,717, 2,734 (arguing ISDS reform within UNCITRAL WGIII has the potential to address climate change, but concluding 'the international investment regime [problems] are deeper [than procedural problems] and should respond to bigger, more relevant issues such as climate change').

[60]UNCITRAL (n 2) 8 para 33.

[61]C McLachlan, *The Institute of International Law's Resolution on the Equality of Parties before International Investment Tribunals: Introduction, Text and Commentaries* (Cambridge University Press 2021) 74.

[62]ICSID Convention (n 27) art 46.

[63]Agreement on Promotion, Protection and Guarantee of Investments among Member States of the Organisation of the Islamic Conference (adopted 5 June 1981, entered into force 23 September 1986) (OIC Agreement); *Hesham TM Al-Warraq v Republic of Indonesia* (Final Award) UNCITRAL (15 December 2014) 6 para 10.

[64]ibid 205, para 659 (noting '[c]ounterclaims are problematic in investment arbitration').

[65]MC Porterfield, L Johnson and B Skartvedt Guven, 'Reforming the International Investment Regime through a Framework Convention on Investment and Sustainable Development' (UNCITRAL 2020) 5 (referring to counterclaims under heading 'substantive' reform).

[66]Zheng and Calamita (n 33) 263 (also referring to '"softer" guidance through multilateral statements of intent').

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investment court' may be required.[67] Zheng and Calamita appear to conflate the processes of amendment of treaties and arbitral rules, which have a different legal nature, in the aforementioned proposition. Notwithstanding their different legal character, arbitral rules may not require 'wholesale' amendment. The UNCITRAL has similarly noted that 'provisions on the possibility of raising counterclaims as well as on the admissibility of such claims could be explicitly included in investment treaties, arbitration rules or a multilateral instrument on procedure reform',[68] by contrast to jurisdictional provisions in international investment agreements. However, as the UNCITRAL has correctly recalled, '[p]rocedural rules applicable to ISDS generally contemplate the possibility of the respondent raising counterclaims during the proceedings'.[69]

3 | THE HYBRIDITY OF ISDS AND SOURCES OF SUBSTANTIVE OBLIGATIONS

The law applicable in ISDS arbitral proceedings comprises a combination of principles and rules derived from both national legal systems and international law, a feature usually referred to as the 'hybridity' of ISDS.[70] Moreover, the international law at issue includes general international law as well as particular treaty law, with the latter involving both procedural and substantive rules. As the Singapore Court of Appeal has noted in *Swissbourgh v Lesotho*, '[i]nternational investment law is a hybrid legal construct uniquely placed at the crossroads of domestic and international law and of private and public law', and is based on 'treaties [which] are unusual in the sense that States party to them undertake obligations that may be enforced by private individuals', notably through 'proceedings against host States for alleged breaches of investment treaty obligations'.[71]

The hybridity of applicable law in ISDS raises questions concerning the nature of international investment law and the use of rules external to investment treaties.[72]

Scholarship remains divided as to the implications which the hybridity of ISDS might have on the suitability of ISDS arbitral proceedings to solve issues related to the environment and, more specifically, climate change.[73]

On one hand, most writers consider the effects of foreign investment on the environment and climate change to be largely negative, depicting international investment law as an obstacle to environmental protection and climate change-related measures by host States, let alone as a factor causing or aggravating environmental damage and climate change. Indeed, it is often argued not only that certain investors cause environmental harm,[74] but that they also seek compensation for host State measures ultimately adopted to address problems likely caused by the conduct of those investors.[75] Such negative impacts may also comprise the effect ISDS can allegedly have on the ability of host States to adopt measures of environmental protection and climate change mitigation.

The potential impact of ISDS on environmental protection and climate change mitigation measures by host States, as Sands puts it, lies at the core of an increasingly intense 'struggle between competing societal objectives which pull in opposite directions'.[76] Such an effect is arguably seen in several recent ISDS arbitral proceedings involving environmental measures by host States, such as *Rockhopper v Italy*.[77] Some cases have concerned measures by host States somewhat related to climate change, as seen in *Grenada Power v Grenada*.[78] Some other cases, equally involving climate change-related measures by host States, carry the more fundamental implication that investment in a given industry or sector targeted by those measures must permanently cease to operate, thus fundamentally upending the respective investors' business models,[79] such as regulation to phase out coal-fired power plants, as observed in *RWE v Netherlands*.[80] These ISDS arbitral proceedings have raised the spectre of a climate change-related 'regulatory chill', a phenomenon widely discussed in relation to other spheres of host State regulation, specifically hindering the exercise by host States of their right to regulate, particularly in order to fulfil any climate change obligations binding upon them, and doing so potentially across all the jurisdictions in which targeted industries operate.[81]

Notwithstanding the aforementioned negative impacts widely attributed to international investment law and ISDS in particular, as Tienhaara notes, it is 'a common misconception that governments can

[67]ibid.

[68]UNCITRAL (n 2) 10, para 45.

[69]ibid 8, para 34.

[70]Mejía-Lemos (n 11) 1634.

[71]*Swissbourgh Diamond Mines (Pty) Ltd and others v Kingdom of Lesotho* [2018] SGCA 81, para 1.

[72]Mejía-Lemos (n 11) 1625 (discussing the view of selected ISDS arbitral tribunals that international law is a two-tier system containing a 'general' system and 'sub-systems', a myriad of which collectively make up ISDS).

[73]The recent, still developing trend of explicitly referring to 'climate change' in international investment agreements is discussed in this vein. Hán (n 29) 154 (discussing a finding of the United Nations Conference on Trade and Development that, among 42 international investment agreements concluded since 2015, 15 treaties expressly refer to environmental aspects, including 'climate change'.)

[74]Monti and Nordlander (n 31) 178 (notably greenhouse gas emissions).

[75]Calvert (n 32) 39, para 3 (arguing investors have sought 'compensation for disruptions to investment projects that stem from their own environmental mismanagement').

[76]Partial Dissent of Professor Philippe Sands QC, *Eco Oro Minerals Corp v Republic of Colombia* (Decision on Jurisdiction, Liability and Directions on Quantum) ICSID Case No ARB/16/41 (9 September 2021) para 1.

[77]These proceedings concern investment in the oil and gas industry. *Rockhopper Italia SpA, Rockhopper Mediterranean Ltd, and Rockhopper Exploration Plc v Italian Republic* (Decision on the Intra-EU Jurisdictional Objection) ICSID Case No ARB/17/14 (26 June 2019) 1 para 5.

[78]The *Grenada Power* tribunal dismissed Grenada's various policy-oriented arguments concerning the claimants' involvement in an entity's conduct as a 'good corporate citizen', essentially noting its mandate was exclusively to determine whether any contractual breaches had been committed by Grenada and what remedies should consequently be awarded to the claimant. *Grenada Private Power and WRB Enterprises Inc v Grenada* (Award) ICSID Case No ARB/17/13 (19 March 2020) 10, paras 8 and 12; and 55, para 140.

[79]K Tienhaara, 'Regulatory Chill in a Warming World: The Threat to Climate Policy Posed by Investor-State Dispute Settlement' (2018) 7 Transnational Environmental Law 229, 241 (observing that 'fossil fuel corporations are faced with an existential threat to their business').

[80]These proceedings arose out of the Netherlands's decision to prohibit the production of electricity by burning coal in 2019. *RWE AG and RWE Eemshaven Holding II BV v Kingdom of the Netherlands* (Request for Arbitration) ICSID Case No ARB/21/4 (20 January 2021) 1, para 2 (adding the dispute 'relates to Claimants' investments in the new coal-fired power plant Eemshaven').

[81]K Miles, 'Arbitrating Climate Change: Regulatory Regimes and Investor-State Disputes' (2010) 1 Climate Law 63, 76 (referring to concerns over the impact of ISDS on 'new environmental protection measures, including new climate change mitigation measures'); Tienhaara (n 79) 232 and 238 (observing 'regulatory chill' takes the form of 'internalization chill, threat chill, and cross-border chill').

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be forced by ISDS tribunals to roll back regulations', because 'ISDS has no direct impact on health and environmental regulation'.[82] Tienhaara's observation is accurate, because ISDS arbitral tribunals, and international courts and tribunals in general, typically lack jurisdiction to annul or modify State measures within a State's internal law (without prejudice to applying internal law rules as required by the applicable treaty) and are thus solely mandated to find whether such measures breach international law obligations. Furthermore, in the absence of any circumstance precluding wrongfulness, international courts and tribunals are primarily required to declare international responsibility and order the responsible party to repair, as provided by the law of State responsibility. Indeed, this is so even where 'juridical restitution' is ordered. While juridical restitution may require 'the modification of a legal situation … within the legal system of the responsible State', notably through 'the revocation, annulment or amendment' of constitutional, legislative, administrative or judicial measures adopted by a responsible State, such changes to the status of a responsible State's measures are to be adopted by that responsible State within its internal legal system, and not directly by the international court or tribunal ordering such restitution.[83] As the International Court of Justice observed in *Avena (Mexico v USA)*, where juridical restitution in the form of review or reconsideration of criminal decisions is ordered, 'the concrete modalities for such review and reconsideration should be left primarily to' the responsible State.[84] And, in any case, leaving aside jurisdictional limitations, ISDS arbitral tribunals may be inclined to consider that, as put by the tribunal in *Masdar and Wind Cooperatief v Spain*, 'juridical restitution should not be granted … because doing so would unduly burden Respondent's legislative and regulatory autonomy'.[85]

On the other hand, some scholars acknowledge that international investment law and ISDS can foster the effectiveness of environmental and climate change-related regulation, without denying the potential negative environmental and climate impacts discussed above.[86] This potential role of international investment law and ISDS is worthy of exploration, all the more because, as acknowledged by critics of ISDS such as Tienhaara and argued by supporters of ISDS such as Schill, international investment law and ISDS in and of themselves need not result in a 'regulatory chill' on environmental protection and climate change-related regulation by host States.[87]

This view is evidenced by the increasingly frequent reliance on international investment agreements to hold host States responsible for their failure to implement measures protecting foreign investment in renewable energies, as exemplified by the several ISDS arbitral proceedings brought against the Czech Republic,[88] Italy[89] and Spain.[90] Most of these proceedings have been initiated under the ECT, amounting to 60% of all publicly known ECT arbitrations as of October 2020.[91]

Furthermore, this position is substantiated by trends in investment treaty practice and related instruments, as illustrated by provisions in recent model investment agreements, reiterating the parties' obligations under various multilateral agreements not directly governing foreign investment, including, notably, the Paris Agreement.[92] Similarly, recent investment treaties expressly reaffirm a host State's right to regulate on environmental grounds[93] and specifically require investors to abide by environmental obligations binding upon the host State.[94] These explicit provisions add to other ways in which traditional and contemporaneous investment treaty practice has sought to preclude foreign investment's potential environmental negative impact. Indeed, various investment treaties have precluded host States from encouraging foreign direct investment through regressive measures, such as derogating from, reducing or waiving the application of environmental requirements, as illustrated by provisions in the North American Free Trade Agreement (NAFTA)[95] and the agreement between the United States of America, the United Mexican States and Canada,[96] which replaced NAFTA, to these effects.

Hence, according to the above school of thought, ISDS should not be discarded as necessarily unsuitable to address non-investment

[82]Tienhaara (n 79) 233.

[83]International Law Commission, 'Draft articles on Responsibility of States for Internationally Wrongful Acts, with commentaries' (2001) II(2) Yearbook of the International Law Commission 31, 97 para 5. See also A Dimopoulos, 'Climate Change and Investor-State Dispute Settlement: Identifying the Linkages' in P Delimatsis (ed), *Research Handbook on Climate Change and Trade Law* (Edward Elgar 2016) 415 (arguing ISDS arbitral tribunals cannot pose any true 'threat' to climate change measures, since their jurisdiction is limited to finding whether investment treaty breaches have been committed).

[84]*Avena and Other Mexican Nationals (Mexico v United States Of America)* (Judgment) [2004] ICJ Rep 12, para 131 (adding 'this freedom in the choice of means for such review and reconsideration is not without qualification', since it must be exercised in light of the particular nature of the breach in question).

[85]*Masdar Solar & Wind Cooperatief UA v Kingdom of Spain* (Award) ICSID Case No ARB/14/1 (16 May 2018) 172, paras 559–560 (adding juridical restitution 'would potentially benefit numerous parties not protected by the ECT' and that '[s]imilarly situated tribunals have denied restitution of regulatory regimes').

[86]C Crépet Daigremont, 'Les arguments relatifs au réchauffement climatique dans l'arbitrage d'investissement' (2020) 3 Revue de Droit International d'Assas 89, 91, fn 10.

[87]SW Schill, 'Do Investment Treaties Chill Unilateral State Regulation to Mitigate Climate Change?' (2007) 24 Journal of International Arbitration 469.

[88]See, e.g., *ICW Europe Investments Limited v Czech Republic* (Award) PCA Case No 2014-22 (15 May 2019).

[89]See, e.g., *The PV Investors v Spain* (Final Award) PCA Case No 2012-14 (28 February 2020).

[90]See, e.g., *Eskosol SpA in liquidazione v Italian Republic* (Award) ICSID Case No. ARB/15/50 (4 September 2020).

[91]ECT Secretariat, 'Even More Renewable Energy Investors Rely on Treaty Protection: Updated Statistics of Investment Arbitration Cases under the Energy Charter Treaty' (ECT Secretariat, 12 October 2020) <https://www.energycharter.org/media/news/article/even-more-renewable-energy-investors-rely-on-treaty-protection-updated-statistics-of-investment-arb/>.

[92]Netherlands Model BIT (22 March 2019) art 6.6.

[93]Agreement between the Government of the Republic of Indonesia and the Government of the Republic of Singapore on the Promotion and Protection of Investments (adopted 11 October 2018, entered into force 9 March 2021) art 11(1) (listing a set of 'legitimate policy objectives').

[94]Reciprocal Investment Promotion and Protection Agreement between the Government of the Kingdom of Morocco and the Government of the Federal Republic of Nigeria (adopted 3 December 2016) art 18(4) (providing '[i]nvestors and investments shall not manage or operate the investments in a manner that circumvents international environmental, labour and human rights obligations to which the host state and/or home state are Parties').

[95]North American Free Trade Agreement (adopted 17 December 1992, entered into force 1 January 1994) 32 ILM 289 and 605 (1993) art 1,114(2) (recalling '[t]he Parties recognize that it is inappropriate to encourage investment by relaxing … environmental measures').

[96]Agreement between the United States of America, the United Mexican States, and Canada (adopted 30 November 2018, entered into force 1 July 2020) art 24.4.3 (noting 'the Parties recognize that it is inappropriate to encourage trade or investment by weakening or reducing the protection afforded in their respective environmental laws').

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issues.[97] For instance, an investor may challenge host State measures for their alleged insufficiency to protect the environment,[98] as illustrated by *Allard v Barbados*.[99] Furthermore, international investment agreements may otherwise give effect to environmental law. For instance, by contrast to a finding that a host State's failure to protect the environment affects an investor, an arbitral tribunal may find it lacks jurisdiction with regard to an investment made in breach of a host State's environmental law, if that investment does not fall within the definition of investment under the applicable investment agreement, as exemplified by *Cortec v Kenya*.[100] Similarly, environmental law may be given effect in jurisdictional determinations regarding counterclaims by respondent States on grounds of breaches of environmental rules.[101] In this sense, counterclaims feature prominently among various proposed ways of addressing climate change-related matters,[102] and, generally, of 'reconciling investment and non-investment issues'.[103] Indeed, climate change-related counterclaims within ISDS arbitral proceedings are portrayed as a means to avoid inconsistencies between the laws on climate change and foreign investment.[104]

Scholarship has also examined the relevance of rules external to international investment agreements with regard to counterclaims, whether of national or international law. As the IIL notes, a 'tribunal may find a counterclaim to be admissible, whether it is founded upon international law or host State law, provided', among other things, that it 'concerns a subject matter that is capable of submission to arbitration'.[105]

Counterclaims, as observed above, can be grounded on obligations under a host State's internal law. Thus, in *Burlington*, Ecuadorian law on environmental strict liability underpinned that tribunal's finding, holding the claimant investor responsible for environmental damages.[106] In *Perenco*, the tribunal equally applied Ecuadorian environmental law and referred to the Rio Declaration, noting the latter's influence on the former.[107] Rudall refers to various ways in which non-international law rules may serve as a basis to hold investors responsible through ISDS arbitral proceedings, including 'domestic law or contractual obligations that become internationalized via an international investment agreement's legality requirements or applicable law clause and the doctrine of systemic integration'.[108] According to the UNCITRAL, allegations by host States of noncompliance with domestic law on the part of investors 'have rarely been framed as counterclaims in treaty-based ISDS' arbitral proceedings.[109] However, as Alexandrov notes, noncompliance with legality requirements, while 'typically invoked as a defense', can be pleaded by a State 'as a counterclaim if it has suffered harm as a result of the investor's illegal conduct in making the investment'.[110]

Some authors have also discussed the possibility of counterclaims relying on rules of international law beyond those of investment treaties, in particular rules of international human rights law.[111] In addition to providing an example for prospective climate change-related litigation,[112] human rights law could arguably prove directly pertinent to climate change-related counterclaims. As exemplified by the Hague District Court's decision in *Milieudefensie v Shell*, such a direct link would arguably lie in human rights law's interpretative role, underpinning specific climate change obligations of investors,[113] whose absence in principle precludes climate change-related counterclaims by host States against investors.[114] Furthermore, human rights law-based climate change obligations of investors could presumably be invoked in ISDS.[115] In light of the *Urbaser v Argentina* tribunal's decision, human rights law could more plausibly serve as a legal ground for climate change-related counterclaims by host States against investors.[116]

The application of rules external to investment treaties has, however, remained controversial. For example, Vadi argues ISDS is not 'a tool to enforce other treaty regimes'.[117] Similar concerns have been expressed by ISDS arbitral tribunals denying a host State's counterclaims based on general rules of that host State's internal law. Notably, the *Saluka v Czech Republic* tribunal refused to admit a counterclaim concerning 'obligations' lacking 'a common origin, identical sources, and an operational unity' with respect to the primary claim.[118] Counterclaims have also failed where a host State's domestic courts have exclusive jurisdiction over host State internal law rules underpinning such counterclaims, resulting in arbitral tribunals finding that they consequently lack jurisdiction to adjudicate on such domestic law rules or otherwise declining to exercise their jurisdiction. This is exemplified by *Paushok v Mongolia*, in which the tribunal questioned

[97]Rudall (n 20) 468.
[98]Hán (n 29) 156.
[99]*Peter A Allard v Barbados* (Award) PCA Case 2012-06 (27 June 2016), discussed in Crépet Daigremont (n 86) 91, fn 10.
[100]*Cortec Mining Kenya Limited, Cortec Limited and Stirling Capital Limited v Kenya* (Award) ICSID Case No ARB/15/29 (22 October 2018) (applying the Kenya-United Kingdom bilateral investment treaty).
[101]Crépet Daigremont (n 86) 91.
[102]Monti and Nordlander (n 31) 176 (referring to 'counterclaims by host States against investors based on climate change obligations').
[103]Rudall (n 20) 470 (referring to 'the use of counterclaims', among others).
[104]Monti and Nordlander (n 31) 178 (arguing climate change-related counterclaims are an 'option to strengthen the consistency between' the aforementioned bodies of law).
[105]IIL (n 6) 3, art 2(1).
[106]Rudall (n 20) 465.
[107]*Perenco v Ecuador* (Final Award) (n 28) para 331.
[108]Rudall (n 20) 467 (referring to 'avenues' for ensuring 'corporate actors' be held responsible for conduct breaching 'international human rights or environmental standards').
[109]UNCITRAL (n 2) 8, para 35.
[110]McLachlan (n 6) 568.
[111]Monti and Nordlander (n 31) 176 (adding 'human rights law can serve as an important tool to contribute to the greening of investment treaties').
[112]ibid 178 (arguing, based on the decision in *Milieudefensie v Shell*, that 'human rights-based climate litigation … send [sic] encouraging signals').
[113]ibid (referring to the *Milieudefensie v Shell* decision's reliance on 'human rights arguments as interpretative aid, that specific [greenhouse gas] emissions targets can also be imposed on corporate actors').
[114]ibid (arguing the absence of rules requiring investors to limit [greenhouse gas] emissions implies climate change-related counterclaims remain thus 'primarily exploratory at present').
[115]ibid (arguing any eventual 'human rights jurisprudence that private investors have specific obligations with regard to climate change mitigation' could be, alongside 'similar outcomes also be transposed into international investment disputes').
[116]ibid (noting the *Urbaser v Argentina* tribunal 'admitted a counterclaim by the State, based on the investor's human rights responsibilities', and arguing it would be 'important to expand the possibility for States to invoke investors' human rights obligations in their counterclaims').
[117]V Vadi, 'Beyond Known Worlds: Climate Change Governance by Arbitral Tribunals?' (2015) 48 Vanderbilt Law Review 1285, 1351 (adding 'this was not the intention of its founders' and 'could raise more legitimacy concerns than it helps to solve').
[118]*Saluka Investments BV v Czech Republic* (Decision on Jurisdiction over the Czech Republic's Counterclaim) UNCITRAL (2004) para 79.

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the appropriateness of an arbitral tribunal's adjudication on domestic law, in general.[119] Notwithstanding the views of the *Saluka* and *Paushok* tribunals, McLachlan argues, the *Burlington* and *Perenco* tribunals 'illustrate the capacity of an international arbitral tribunal to consider and rule upon claims founded upon domestic principles of constitutional law'.[120]

4 | PROCEDURAL AND SUBSTANTIVE ASPECTS OF COUNTERCLAIMS IN ISDS

There are substantive and procedural aspects of the use of counterclaims which call for conceptual elucidation, notably as seen in light of the unidirectional character of most existing international investment agreements. In this vein, the *Al-Warraq* tribunal quoted approvingly Crawford's view that arbitral tribunals 'should be able to hear closely connected investment counterclaims arising under the investment contract', because '[o]therwise the maxim *pacta sunt servanda* operates in only one direction'.[121] This statement correctly recalls that the actual operation of substantive rules is, in practice, inextricably linked to the procedural means allowing for the implementation of rights and duties arising under those substantive rules. However, the above statement is also ambiguous, as it might be understood to suggest that *pacta sunt servanda* fully underpins both the substantive and procedural aspects of the unidirectionality of international investment agreements.

Procedural aspects remain distinct as to their legal foundation.[122] Indeed, in dealing with the unidirectionality of most investment agreements, substantive standards under a treaty must not be conflated with procedural mechanisms relating to dispute settlement under that treaty. Instead, general principles of law having a more direct connection with procedure, such as the principle of equality of parties, could be relied on as a basis for the use of counterclaims. As the IIL has stated, '[t]he ability of a respondent to assert a counterclaim that is admissible before a tribunal ensures the procedural equality of the parties'.[123] Indeed, as the IIL has noted, the principle of equality of the parties to a dispute is 'a general principle of law applicable to the procedure of international courts and tribunals'.[124] The character of this principle as a primarily procedural general principle of law is without prejudice to the role of *pacta sunt servanda* as a principle underpinning the source of jurisdiction of arbitral tribunals, which typically takes the form of an arbitration agreement, and to the nature of equality of parties, which is a substantive right under human rights law.[125] In addition to the above principle, there are other procedural principles and aspects on which counterclaims can have an impact. As the UNCITRAL notes, '[a]llowing counterclaims to be heard together with the initial claim in one set of proceedings by the same arbitral tribunal could enhance procedural efficiency'.[126] The UNCITRAL adds that any future regulatory 'framework' on counterclaims should aim to 'have a positive impact on the duration and cost of the proceedings', among other 'procedural issues'.[127]

A conflation of procedural and substantive rules appears to underpin the view that counterclaims are a source of substantive rights and duties. In this vein, for instance, Boisson de Chazournes's proposition that 'counterclaims have the potential to absorb environmental obligations and incorporate them into the resolution of the dispute'[128] must be qualified, in order to clarify that counterclaims are not sources of substantive rights and duties in themselves, but rather a procedural means giving effect to any applicable rules of law imposing those environmental obligations. Such conflation may also lead to confusing the existence of responsibility with the legal capacity to invoke it. For example, Calvert refers to 'the single-party liability principle', suggesting that it is a 'principle whereby foreign investors have the capacity to hold states accountable for harms done but governments cannot sue foreign investors'.[129] In this vein, Asteriti, who similarly considers the potential of 'counterclaims' of 'allowing for international and domestic environmental obligations to enter the investment dispute', correctly characterizes them as 'procedural means of incorporation'.[130] The primarily procedural nature of counterclaims follows from being one of the implications of the principle of equality of parties, which, as the IIL notes, occurs 'at a procedural level'.[131] From the procedural nature of counterclaims, larger implications have been drawn as to their nature, though without providing a compelling rationale. For instance, while allowing counterclaims may be correctly portrayed as a means to strike a balance between investors and States within ISDS, it is unclear how, as McLachlan asserts, a 'counterclaim can also be said to promote equality of the parties in its constitutional aspect'.[132]

[119] *Paushok v Mongolia* (Award) UNCITRAL (2011).
[120] McLachlan (n 6) 480–481, para 211.
[121] J Crawford, 'Treaty and Contract in investment Arbitration', The 22nd Freshfields Lecture on International Arbitration (2007) 17, quoted in *Al-Warraq v Indonesia* (Final Award) (n 63) 206, para 659.
[122] As Rudall notes, '[t]he application of … substantive standards … requires certain procedural mechanisms'. Rudall (n 20) 458 (further recalling 'classically, dispute resolution under investment treaties envisages that an investor may bring a claim against a state, but not vice versa').
[123] IIL (n 6) 6, art 6(1). That that principle's operation be ensured by counterclaims does not necessarily imply or presuppose the latter is 'required' by the former. As IIL member J Crawford noted, 'the procedural principle of equality of the parties does not require that the respondent state be able to bring counterclaims'. McLachlan (n 6) 544. However, IIL member P D'Argent observed, '[e]quality of the parties also requires that claimant is presumed to accept to face a counterclaim once it begins proceedings'. McLachlan (n 6) 569–570. In the opinion of IIL member G Gaja, who commented on *Saluka v Czech Republic*, while '[t]he interpretation to the effect that consent to jurisdiction over counterclaims is implied is not necessarily based on the principle of equality, but that principle may be invoked in order to reinforce it'. McLachlan (n 6) 570. According to IIL member V Mikulka, the principle's actual operation rests not so much on the 'ability' to submit counterclaims as on 'the factual existence or non-existence of such counterclaims'. McLachlan (n 6) 572.
[124] IIL (n 6) 1, preambular para 2.
[125] ibid 1, preambular para 3 (observing 'the equality of the parties is also a fundamental human right recognised by Article 10 of the Universal Declaration of Human Rights of 1948 and Article 14(1) of the International Covenant on Civil and Political Rights of 1966').
[126] UNCITRAL (n 2) 8, para 34 ('and may avoid multiple proceedings in different forums involving the same parties').
[127] UNCITRAL (n 2) 9 para 38.
[128] L Boisson de Chazournes, 'Environmental Protection and Investment Arbitration: Yin and Yang?' (2017) 10 Anuario Colombiano de Derecho Internacional 371, 392.
[129] Calvert (n 32) 39, para 3 (arguing '[r]ebalancing investment treaty law requires eliminating the single-party liability').
[130] A Asteriti, 'Environmental law in investment arbitration: procedural means of incorporation' (2015) 16 Journal of World Investment and Trade 248, 248.
[131] McLachlan (n 6) 420, para 6 (italics omitted).
[132] ibid 474, para 186.

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The aforementioned independence of procedural and substantive aspects is also evidenced by the way sources of rights operate in the formulation of counterclaims. The source of the right to submit a counterclaim is independent from that of the primary claim, and so is the jurisdiction of the tribunal over a counterclaim. Indeed, as the IIL observes, '[w]hether or not the tribunal has jurisdiction over a counterclaim does not depend upon the respondent invoking the same ground of jurisdiction as that relied upon by the claimant for its claim'.[133] This independence between the sources of jurisdiction over a counterclaim and the primary claim, respectively, is further observed in the proposition that, as the IIL notes, a tribunal's jurisdiction over a counterclaim is not 'limited by the scope of the dispute as framed by the claimant in its Request for Arbitration'.[134] Indeed, as McLachlan recalls, the pursuit of a counterclaim 'flows from the general principle that the agreement to arbitrate is autonomous and is separable from the substantive obligations to which it applies'.[135] Not only it is separable from 'substantive obligations', but also from the rules setting out such obligations and their respective formal source. Indeed, as McLachlan also recalls, '[t]he dispute settlement clause is separable from the substantive provisions of the investment treaty in which it is contained'.[136] And, as d'Argent notes based on *Nicaragua v Colombia*, once proceedings are commenced, a counterclaim over which a tribunal has jurisdiction may proceed, 'irrespective of the later termination of the instrument providing jurisdiction for the claim and the counterclaim'.[137]

The source of the substantive rights and duties forming the basis for a counterclaim may also be independent from the source of the primary claim. For instance, the IIL notes, it is not required 'that the counterclaim be founded upon the same legal instrument or cause of action asserted by the claimant'.[138] In particular, as the IIL states, a 'tribunal may find a counterclaim to be admissible, whether it is founded upon international law or host State law', even though the legal instrument invoked by a claimant is necessarily the investment agreement.[139] The above propositions mean that, as McLachlan observes, 'the jurisdiction of the tribunal may extend to claims that are founded on legal rights outside the specific substantive terms of the treaty, either in host State law or (provided always that there is a legal basis for the claim) in international law'.[140] Furthermore, this wide jurisdictional scope is consistent with the hybridity of international investment law: Such hybridity, as McLachlan notes, empowers ISDS arbitral tribunals 'to decide a dispute applying both host State law and international law'.[141]

The distinction between substance and procedure is without prejudice to the fact that their combination is indispensable for the effective operation of legal rules. In particular, this is predicable of ISDS. As Boisson de Chazournes notes, 'procedural devices of international courts and tribunals, including investment tribunals … include … counterclaims'.[142] Notably, counterclaims allow for enforcing 'obligations against the investor' and for ensuring compensation for damages caused by investors can be accorded.[143] Furthermore, this distinction may be relevant for substantive rules not directly related to investment but which may be included in existing or proposed investment agreements. The UNCITRAL WGIII has suggested 'formulating provisions on investor obligations which would form the basis for a State's counterclaims' and 'may relate to the protection of human rights and the environment, compliance with domestic law, measures against corruption and the promotion of sustainable development'.[144] As Rudall observes, '[c]ombined with explicit substantive provisions[,] … procedural mechanisms … provide a firmer legal basis for holding corporations accountable when they violate non-investment norms, including those concerning the environment'.[145] Likewise, as Boisson de Chazournes notes, 'counterclaims allow ISDS arbitral tribunals "to analyze the investors" conduct against the State's non-economic rights that include the right to protect its environment'.[146]

5 | THE IMPLEMENTATION OF INTERNATIONAL RESPONSIBILITY AND THE ENFORCEABILITY OF ISDS ARBITRAL AWARDS

There are other questions concerning the suitability of ISDS, and the use of counterclaims in particular, for settling disputes involving climate change-related elements. Some questions concern the possibility of direct claims against investors. Other questions relate to the perceived advantages and limitations for host States to resort to ISDS, whether via claims or counterclaims, notably in terms of the opportunities offered by the enforceability of ISDS arbitral awards. A consideration of these questions requires revisiting the conditions of jurisdiction and admissibility of counterclaims.

The submission of a counterclaim requires satisfying jurisdictional and admissibility conditions, which lie at the core of debates concerning the feasibility of counterclaims by host States. Indeed, most counterclaims by host States appearing as respondents in publicly known ISDS arbitral proceedings have failed to meet those conditions, with the successful ones having heretofore been explicitly consented to by

[133]IIL (n 6) 6, art 6(3).
[134]ibid.
[135]McLachlan (n 6) 477, para 196.
[136]ibid 473, para 181.
[137]*Alleged Violations of Sovereign Rights and Maritime Spaces in the Caribbean Sea (Nicaragua v Colombia)* (Order) [2017] ICJ Rep 289, discussed by IIL member D'Argent in McLachlan (n 6) 570.
[138]IIL (n 6) 7, art 6(5).
[139]ibid (provided, among others, 'that it … concerns a subject matter that is capable of submission to arbitration').
[140]McLachlan (n 6) 477, para 197.
[141]ibid.

[142]Boisson de Chazournes (n 128) 389 (noting they are 'crucial for ensuring environmental protection' and also referring to 'the resort to experts … and *res judicata*.')
[143]ibid 392.
[144]UNCITRAL (n 2) 9, para 41.
[145]Rudall (n 20) 458.
[146]Boisson de Chazournes (n 128) 394 (commenting on *Perenco* and *Burlington*.)

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the disputing parties,[147] as pointed out in *Aven v Costa Rica*.[148] It is thus relevant to comment on those conditions.

As for jurisdiction, a respondent's counterclaim falls within a tribunal's jurisdiction if, as put by the IIL, 'by virtue of the instrument of consent invoked by the respondent, the tribunal would have had jurisdiction over the counterclaim had it been asserted as a primary claim'.[149] In the particular case of ICSID arbitral proceedings, a counterclaim must also meet the requirement of falling within the ICSID Centre's jurisdiction.[150] Where ISDS arbitral proceedings are conducted under the UNCITRAL Arbitration Rules, as revised in 2010, 'the respondent may make a counter-claim … provided that the arbitral tribunal has jurisdiction over it'.[151] This revision was deliberately adopted to accommodate both commercial and investment arbitrations.[152]

The source of arbitral jurisdiction is generally embodied in an arbitration agreement, which manifests consent to submit disputes to arbitration. An arbitration agreement, although separable from the main agreement containing it, has a scope often determined by the terms set out in that main agreement.[153] The scope of dispute settlement clauses in international investment agreements, which typically underpin treaty-based ISDS arbitral proceedings, 'affects the extent to which the State may pursue a counterclaim'.[154] For McLachlan, these treaty clauses tend to fall into two categories, namely 'general bilateral' and 'one-way' clauses.[155] In terms of their scope of operation *ratione personae* and *materiae*, whereas 'general bilateral' clauses allow, with varying degrees of detail, for either host States or investors to submit claims regarding any legal dispute between them, 'one-way' clauses are 'limited in both of these respects'.[156] The limitations, without disregarding the distinction between substantive and procedural aspects, illustrate how an investor's substantive legal position can affect its procedural legal position. As Alexandrov notes, where a 'one-way' clause is involved, 'a counterclaim may be outside of the scope of the provision granting jurisdiction', because 'an investor would not be capable of violating a treaty under which it has no obligations'.[157]

As for admissibility, in the IIL's view, a counterclaim must arise 'directly out of the subject matter of the investment'.[158] According to the IIL, such 'requirement of sufficiency of connection … does not require that the counterclaim be founded upon the same legal instrument or cause of action asserted by the claimant'.[159]

The foregoing discussion has been entertained on the assumption that a host State would normally seek relief on the international plane, specifically within the context of ISDS arbitral proceedings, for any damages caused by a foreign investor, via a counterclaim against that foreign investor, provided the aforementioned conditions of jurisdiction over and admissibility of counterclaims are satisfied. However, such a choice is not to be taken for granted. As the UNCITRAL notes, a 'respondent State's counterclaims in ISDS … should not foreclose the possibility that claims might be brought against an investor, where there was a legal basis for doing so', before domestic courts.[160]

States could in fact decide to resort to their own domestic courts to hold investors responsible. And they have done so, notably where their claims relate to the application of domestic rather than international law, according to the UNCITRAL.[161] As the IIL notes, it is a State's 'sovereign power to enforce its own law and adjudicate its claims against investors for breach of its laws before its own courts'.[162] While such power would not extend to holding investors responsible for alleged breaches of international law obligations, if any,[163] provided the principal source of obligations for investors is the law of host States, the exercise of this sovereign power is not to be discarded. Indeed, as the IIL adds, while a State is 'equally entitled to submit a claim in relation to an investment to a tribunal'[164] constituted under international law, it is not 'obliged to submit its claim against an investor to [such] a tribunal, unless it gives its consent and elects to do so'.[165] Other aspects of the choice to resort to domestic courts concern the indirect impact which international investment law might have on that choice. Indeed, as Zheng and Calamita observe, domestic court decisions may form the basis for claims under international investment treaties.[166] In this vein, they add, 'investors … may seek to overturn domestic judgments of liability for environmental harm through the use of investment treaties'.[167] However, as discussed above, insofar as international courts and tribunals lack competence to 'overturn' decisions of a State's organs, adopted under that State's internal law, it is inaccurate to suggest that ISDS affords this kind of remedy to investors. Of course, measures of reparation, notably in the form of compensation, which may be indicated in ISDS arbitral proceedings for breaches of investment agreements by a host State's judicial organs, may be a factor in a State's decision not to resort to its own domestic courts to seek relief for damages caused by an investor.

[147]Namely, in *Burlington* and *Perenco*. McLachlan (n 6) 475, para 188, fn 232 (noting in these two cases 'the Parties consented to the Tribunal's jurisdiction over the counterclaim by *compromis*').
[148]*David Aven* et al *v Costa Rica* (Final Award) Case No UNCT/15/3 (18 September 2018) para 736 (stating '[m]ost international investment tribunals have not recognized jurisdiction over the counterclaims introduced before them in the absence of an explicit agreement between the parties to submit the counterclaim to the arbitral tribunal').
[149]IIL (n 6) 6, art 6(3).
[150]ICSID Convention (n 27) art 25(1), discussed in IIL (n 6) 6, art 6(4).
[151]UNGA 'UNCITRAL Arbitration Rules (as revised in 2010)' UN Doc A/RES/65/22 (6 December 2010) art 21(3).
[152]McLachlan (n 6) 476, para 192.
[153]Mejía-Lemos (n 11) 1617.
[154]McLachlan (n 6) 474, para 183.
[155]ibid 473, para 181.
[156]ibid 473–474, paras 182–183.
[157]ibid 568–569.
[158]IIL (n 6) 6, art 6(2).
[159]ibid 7, art 6(5).
[160]UNCITRAL (n 2) 7–8, para 32.
[161]UNCITRAL (n 2) 8, para 35 (noting 'States have resorted to domestic courts to seek affirmative relief').
[162]IIL (n 6) 3, art 1(2).
[163]*Aven v Costa Rica* (Final Award) (n 148) paras 737 and 743 (noting 'the enforcement of environmental law is primarily [entrusted] to the States, but it cannot be admitted that that a foreign investor could not be subject to international law obligations', yet concluding the provisions at issue 'do not … impose any affirmative obligation upon investors').
[164]ibid 3, art 2(1).
[165]ibid 3 art 2(2).
[166]Zheng and Calamita (n 33) 263.
[167]ibid.

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States may, in the alternative, directly bring claims against investors in ISDS proceedings, potentially reversing their typical position as respondents. The ICSID Convention allows for claims by either a contracting State or a national thereof in ICSID arbitral proceedings,[168] a possibility of which ICSID contracting States have reportedly not yet availed themselves.[169] This possibility is also accorded by various international investment agreements. For instance, under the OIC Agreement, 'each party has the right to resort to the Arbitration Tribunal for a final decision on the dispute'.[170] According to the *Al-Warraq* tribunal, not only does 'the OIC Agreement … [authorize] counterclaims by the state party', but it also directly 'envisages claims by the State party', arguably contemplating the possibility 'that a State Party initiates arbitration as a Claimant against an investor'.[171] Indeed, for the *Al-Warraq* tribunal, '[a] party may exercise 'a right to resort to arbitration' either by commencing the arbitration itself, or making a counterclaim if the other party commences the arbitration first'.[172]

The aforementioned extension in the scope of arbitral jurisdiction *ratione personae* can only be fully effective if its scope *ratione materiae* is suitably wide, as conveyed by the IIL's concept of 'general bilateral' clause. For example, the Argentina–Spain BIT, like the OIC Agreement, does not restrict the capacity of appearing as claimant to investors only, nor the object of disputes capable of submission to arbitration thereunder, notably because a dispute need not arise out of a breach of that BIT.[173] This is by contrast, for instance, to the 2008 Economic Community of West African States (ECOWAS) Supplementary Act on Investments, whereby '[a] host Member State may initiate a counterclaim … for damages resulting from an alleged breach of the Supplementary Act'.[174] Such a widening of the scope of jurisdiction *ratione materiae*, in addition to a sufficiently wide scope of jurisdiction *ratione personae*, is normally required for an arbitral tribunal to assert jurisdiction over a host State's claim or counterclaim, because States, not being typically the beneficiaries or holders of substantive protection under most international investment agreements, are often precluded from basing their claims or counterclaims on breaches thereof. This is seemingly a feature of the prevalence of treaty-based ISDS. As Boisson de Chazournes notes, treaty-based, as opposed to contract-based, ISDS has tilted the 'balance of rights and obligations … towards investor protection'.[175] Conversely, investment contracts have been relied on in order to introduce host-state counterclaims, serving, for example, as sources for Ecuador's successful counterclaims in *Burlington* and *Perenco*.[176]

The lack of a permanent standing on the part of certain international courts and tribunals, established on an ad hoc basis, is a feature of international dispute settlement generally,[177] and of ISDS in particular,[178] which has some implications for counterclaims. Indeed, with regard to environmental and climate change-related disputes in general, Sands and MacKenzie have argued that '[t]he lack of institutional support for dispute settlement procedures has also been identified as a gap' in terms of institutional mechanisms for solving such disputes.[179] While ad hoc arbitral tribunals conducting proceedings administered by arbitral institutions having a permanent standing benefit from the support those institutions provide, contrary to what Sands and MacKenzie's generic statement might suggest, it is trite that the transience of arbitral tribunals still results in some limitations. In particular, such limitations would also hold true, to a certain extent, in relation to the use of counterclaims in ISDS. For instance, the *Perenco* tribunal declined to order that compensation awarded to Ecuador for environmental damages be paid to an environmental remediation fund, despite the parties' agreement,[180] on grounds that it 'would be inconsistent with the Tribunal's role' to ensure compliance with such an order, because, once a final award is issued, 'the Tribunal is *functus officio*'.[181] This would lend support to the view, espoused by Vadi, that 'arbitral tribunals are not the best forum to adjudicate climate-related disputes, due to their limited mandate',[182] unlike international courts and tribunals having a permanent standing. However, the proposed establishment of permanent international courts and tribunals to conduct ISDS proceedings is largely based on clauses limiting the scope of jurisdiction *ratione materiae* and *personae* of such permanent ISDS courts and tribunals to claims by investors for breaches of the respective international investment agreement.[183] Indeed, CETA epitomizes this limitation in the jurisdiction of proposed permanent ISDS courts and tribunals, because it contains a typical 'one-way' clause, whereby 'CETA limits access to its dispute resolution procedures' to claims by investors for breaches of obligations under CETA 'where the investor claims to have suffered loss or damage as a result of the alleged breach'.[184] Hence, permanent ISDS courts and tribunals, at least as conceived at present, appear unlikely

[168]ICSID Convention (n 27) art 36(1).
[169]McLachlan (n 6) 445 para 87 (footnotes omitted).
[170]OIC Agreement (n 63) art 17(2)(a).
[171]*Al-Warraq v Indonesia* (Final Award) (n 63) para 660.
[172]ibid 207, para 661 (pursuant to OIC Agreement (n 63) art 17(2)(a)).
[173]S Vezzani, 'Diritto internazionale degli investimenti e diritto all'acqua: il caso dell'Argentina' in LF Pastorino (ed), *Las formas de la naturaleza y sus formas de regulación* (Ediciones Cooperativas 2018) 177, 187 (discussing the content of the Argentina-Spain BIT art X and noting under that provision such disputes need not be 'controversie … relative ad asserite violazioni del BIT stesso').
[174]Supplementary Act Adopting Community Rules on Investment and the Modalities for their Implementation with ECOWAS (adopted 19 December 2008, entered into force 19 January 2009) ECOWAS Doc A/SA.3/12/08 art 18(5).
[175]McLachlan (n 6) 544.
[176]Calvert (n 32) 39, para 3.2 (noting this is due to the paucity of provisions in international investment agreements allowing for claims against investors).
[177]Indeed, a tendency in multilateral environmental agreements, towards preferring ad hoc dispute settlement over resort to permanent dispute settlement institutions has been observed. A Kiss, 'Le règlement des différends dans les conventions multilatérales relatives à la protection de l'environnement' in RJ Dupuy (ed), *The Settlement of Disputes on the New Natural Resources* (Brill 1993) 119, 122–123.
[178]IIL (n 6) 2, preambular para 9 (considering 'the position of both kinds of arbitral tribunals, whether are appointed ad hoc … ('arbitral tribunal') or any standing tribunal … ('permanent tribunal')' present or future).
[179]Sands and MacKenzie (n 4) 338, para 62.
[180]*Perenco v Ecuador* (Final Award) (n 28) paras 900–901.
[181]ibid para 902.
[182]Vadi (n 117) 1351 ('and their uneven consideration of environmental concerns in the past').
[183]McLachlan (n 6) 473, para 182 (noting 'current forms of dispute settlement clauses in those treaties or drafts that contemplate the establishment of a standing investment tribunal are one-way clauses').
[184]CETA (n 58) art 8(18), discussed in McLachlan (n 6) 473, para 182.

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to fully solve challenges posed by the ad hoc nature of most existing ISDS arbitral tribunals.

Paramount among the reasons for resorting to international arbitration instead of domestic litigation, even when relying on internal law, is the enforceability of arbitral awards under the various regimes applicable to ISDS arbitral proceedings. International arbitration, as Zheng and Calamita note, constitutes an 'important', if not 'the only available', forum to invoke investors' responsibility for environmental damages.[185] Indeed, as they explain, domestic courts may decline to exercise jurisdiction on grounds of the *forum non conveniens* doctrine or in compliance with contract-based arbitration agreements.[186] The unavailability of enforcement opportunities before domestic courts would, in their view, justify focusing on 'counterclaims, especially in cases involving allegations of environmental harm'.[187]

The significance of enforceability of ISDS arbitral awards and, in particular, its pertinence as it relates to procedural means available to host States, is reaffirmed in the preparatory work of the ICSID Convention. Indeed, Broches noted that the provisions on enforceability in the ICSID Convention, providing for the enforceability of awards in other contracting States' territories, had been 'inserted primarily with the needs of host States in mind'.[188] This intended emphasis on availability of enforceability mechanisms for host States, according to McLachlan, shows the ICSID Convention 'may be asymmetric, but it is not – at least in its design – one-sided'.[189] Furthermore, as McLachlan argues, a host State's choice to resort to international arbitration instead of its own national courts, 'might itself raise significant sovereignty implications', notably by suggesting 'a lack of confidence in its own courts',[190] but 'there remain sound practical reasons' for such a choice.[191] Those reasons include not only the fact that '[t]he foreign investor (as distinct from its local investment vehicle) may well have no presence within the jurisdiction of the host State',[192] but also, more critically, '[t]he international enforceability of an ICSID arbitral award far exceeds the enforceability of the judgment of any national court'.[193] This rationale can equally be predicated of ISDS arbitral proceedings not conducted under the ICSID Convention, most notably in light of the New York Convention's almost universal scope of application.[194] It would also hold true in the rather rare scenario that neither the ICSID Convention nor the New York Convention was in force in a given place of enforcement. Indeed, the New York Convention expressly recognizes the validity of 'multilateral or bilateral agreements concerning the recognition and enforcement of arbitral awards'.[195] In particular, such 'bilateral agreements' providing for the enforcement of arbitral awards may take the form of any applicable international investment agreement, provided that it contains provisions on the enforceability of arbitral awards issued by arbitral tribunals constituted thereunder in the territories of the parties thereto.[196] And, even if the New York Convention was applicable to an arbitral award issued under an international investment agreement containing provisions on enforceability of arbitral awards, if that investment treaty's provisions on arbitral award enforcement were more favourable than those in the New York Convention, then that investment treaty's provisions would prevail over the New York Convention's provisions, pursuant to the latter's rules, expressly providing for the application of the most favourable law in force at the place of enforcement.[197]

There may still be some limitations to the enforceability of ISDS arbitral awards, which should be borne in mind, however. Paramount among those constraints is the law of state immunity, which may pose obstacles to the enforceability of ISDS arbitral awards under both the ICSID Convention[198] and New York Convention.[199] Such obstacles, though often encountered by investors seeking to enforce arbitral awards against host States,[200] would not be faced by host States in their capacity as ISDS arbitral award creditors. This peculiar position furnishes an even more compelling rationale for host States to eventually resort to ISDS arbitral proceedings in order to implement the international responsibility of investors for their breach of environmental and climate change obligations.

6 | CONCLUSIONS

This article, based on a comprehensive review of literature and practice, has engaged in an analysis of the suitability of ISDS to settle disputes involving environmental and climate change issues, notably in the form of international arbitration, and the use of counterclaims by host States in ISDS arbitral proceedings to that effect. In doing so, this article has placed emphasis on the role ISDS arbitral proceedings may play as means for implementing international responsibility for breaches of climate change obligations as well as the role of international investment law in substantiating such obligations.

This article has discussed the place of international arbitration as one of the preferred means for the peaceful settlement of disputes

[185]Zheng and Calamita (n 33) 262–263.
[186]ibid 263.
[187]ibid.
[188]A Broches, 'The Convention on the Settlement of Investment Disputes between States and Nationals of Other States' (1972) 136 Recueil des Cours 331, 349, discussed by McLachlan (n 6) 445 para 86.
[189]McLachlan (n 6) 445, para 86.
[190]ibid 446, para 89.
[191]ibid 446, para 90.
[192]ibid.
[193]ibid.
[194]United Nations Conference on Trade and Development (UNCTAD) 'Dispute Settlement: Investor-State' UN Doc UNCTAD/ITE/IIT/30 (May 2003) 63.
[195]New York Convention (n 26) art VII(1).
[196]UNCTAD (n 194) 64 (citing, as examples, the United States/Russia and Lithuania/Sweden bilateral investment treaties).
[197]So would also be the case if the more favourable provisions were of national law of the place of enforcement. New York Convention (n 26) art VII(1) (providing it 'shall not affect' the validity of treaties concerning enforcement of arbitral awards, 'nor deprive any interested party of any right he may have to avail himself of an arbitral award in the manner and to the extent allowed by the law or the treaties of the country where such award is sought to be relied upon'). N Blackaby et al, *Redfern and Hunter on International Arbitration* (6th edn, Oxford University Press 2009) 636, para 11.93 (referring to 'more favourable local law').
[198]ICSID Convention (n 27) arts 54 and 55.
[199]New York Convention (n 26) art V(2)(b).
[200]Blackaby et al (n 197) 656 para 11.146 (noting that, 'whilst the existence of an arbitration agreement is usually held to be a waiver of immunity from jurisdiction, such a waiver is generally not held to extend to immunity from execution').

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under international law, including those concerning the environment and climate change. Importantly, it has observed that the pre-eminence of international arbitration, especially within the context of ISDS, is mainly due to the flexibility and hybridity of ISDS arbitral proceedings and the enforceability of ISDS arbitral awards.

With regard to the flexibility of ISDS, the article has discussed the opportunities, which ongoing ISDS reform may present for implementing international responsibility for breaches of climate change obligations within the procedural framework of ISDS arbitral proceedings. Notably, it has focused on the preeminent role of international arbitration in the settlement of mixed disputes and, thus, for holding responsible private parties, such as foreign investors, as opposed to most other international dispute settlement mechanisms, exclusively oriented towards holding states responsible. It has discussed both substantive and procedural investment law reforms, in the form of new trends in investment treaty practice and discussions of new regulatory procedural frameworks for counterclaims in ISDS arbitral proceedings.

With respect to the hybridity of ISDS, the article has particularly examined how this feature plays out in the composition of the law applicable in ISDS arbitral proceedings. It has addressed the apparent paradox of potentially relying on ISDS to foster the implementation of climate change-related obligations, despite a trend seemingly inherent in international investment law and ISDS towards undermining the very ability of host States to engage in environmental protection and climate change mitigation measures, showing that ISDS cannot directly impair such ability under international law. It has also discussed how investors may use ISDS to hold host States responsible for breaches of environmental and climate change obligations. The possibilities hybridity opens up for host States to hold foreign investors responsible for similar breaches were examined as well, notably where host State internal law is a source of obligation for investors under the applicable investment treaty, as the major source of law and jurisdiction in ISDS arbitral proceedings.

Lastly, the article has offered a detailed analysis of procedural and substantive aspects of the regulation of counterclaims in ISDS, as well as the place of enforceability of ISDS arbitral awards in the implementation of international responsibility for breaches of climate change obligations. In addition to elucidating the concepts of source of jurisdiction and substantive rights and duties, as they relate to the formulation of counterclaims, it has examined the unique advantages afforded by the enforceability of ISDS arbitral awards, as a major feature lending support to the suitability of international arbitration generally, and of ISDS arbitral proceedings in particular, to settle disputes having environmental and climate change elements, even if such elements are dealt with accessorily to an investment dispute.

In sum, this article has shown that the suitability of ISDS arbitral proceedings for implementing climate change international responsibility can be confidently affirmed, despite its various limitations. The prospects for that role to be performed remain to be seen, as international investment law undergoes profound transformations, and may prove a fertile ground for further research.

DATA AVAILABILITY STATEMENT

Data sharing not applicable to this article as no datasets were generated or analysed during the current study

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